evoke plc (LSE: EVOK.L)

Q3 2026 Earnings — Analyst Brief · Released 23 Oct 2026 · Currency GBP (tables in £m; ~USD in parentheses at GBP/USD 1.34)

Broadly flat on the day: shares traded -0.5% at 41.90p (~$0.56) after the 7:00am release and closed at c.42.1p (~$0.56), unchanged versus the 22 Oct close, with the stock pinned to the Bally's Intralot all-share terms (headline 52p/~$0.70; market cap ~£189m/~$253m). On 28 Oct the shares rose ~3.5% to c.44.5p (~$0.60) after the Budget set MGD at 25% rather than the 40% some had feared.

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THE ONE-LINE VERDICT

A revenue-only trading update that confirms the 2026 story: the estate shrink and a 1–2ppt bad-results hit took reported Q3 revenue down 7% to £406m (~$544m), while like-for-like constant-currency revenue fell 2% — a deceleration from +2% in H1 even with the July World Cup in the base. With no divisional, EBITDA or net-debt disclosure and no guidance during the offer period, the equity is now a bet on Bally's Intralot closing on time (headline 52p/~$0.70 all-share, shares ~42p/~$0.56) against a balance sheet already at 5.6x and drifting toward ~6x as the 40% RGD annualises.

Q3-26 GROUP REVENUE	Q3-26 LFL CC REVENUE GROWTH	RETAIL ESTATE	NET DEBT (30 JUN 26, LAST DISCLOSED)	NET LEVERAGE (30 JUN 26)	SHARE PRICE VS OFFER
£406m (~$544m)	**-2%**	**c.270 fewer shops YoY**	**£1,899.4m (~$2.55bn)**	**5.6x LTM adj. EBITDA**	**42.1p (~$0.56) close**
-7% YoY reported (unaudited)	vs +2% LfL in H1-26 and Q1-26	c.70 closed Q4-25 + c.200 from 24 May 2026	+£36.7m (~$49m) vs FY25	vs 5.2x at Dec-25	~19% below 52p (~$0.70) headline Bally's Intralot terms

1 EXECUTIVE SUMMARY

- **Headline: reported revenue -7% to £406m (~$544m), -2% like-for-like constant currency.** The gap (~5ppt, c.£22m/~$29m on the £435.4m/~$583m Q3-25 base) is almost entirely the c.270 closed William Hill shops plus minor FX. The update is unaudited and carries no divisional revenue, EBITDA, cash or net-debt figures — management explicitly limited disclosure given the pending Bally's Intralot acquisition.
- **Underlying deceleration, not stability.** LfL growth has gone +2% (Q1-26) → c.+2% (Q2-26, implied by H1 +2%) → -2% (Q3-26). Management attributes 1–2ppt of the Q3 decline to customer-friendly results at the start of the football season and calls revenue 'broadly stable on a normalised basis' — i.e. flat at best, versus +2% in H1, and that is with July's FIFA World Cup knockout rounds in the quarter. We read the normalised run-rate as roughly flat to slightly negative.
- **Versus expectations: no formal consensus to beat or miss.** The Board withdrew medium-term targets on 26 Nov 2025 and has given no FY26 guidance since the 5 June 2026 offer. At H1 (12 Aug) they said post-period trading was 'in line with management expectations with strong levels of engagement throughout the FIFA World Cup'; Q3 is consistent with that only if 'in line' already assumed a sub-trend H2.
- **Guidance bridge — there isn't one.** Old: FY25 adj. EBITDA margin ≥20% (delivered: 20.0%) and 5–9% p.a. revenue growth to 2027 (withdrawn). Interim: £125–135m (~$168–181m) annualised pre-mitigation duty headwind once fully implemented from Apr-27, ~£80m (~$107m) falling in FY26, with ~50% mitigation targeted. New: nothing quantified at Q3. The division that broke the old framework is UK&I Online (RGD 21%→40% from 1 Apr 2026), not Retail — Retail is the division being cut to pay for it.
- **9M-26 revenue is £1,293.5m (~$1.73bn), -2.2% YoY** (9M-25: £1,323.2m/~$1.77bn). On our arithmetic FY26 revenue lands around £1.72–1.73bn (~$2.31–2.32bn), c.-3%, assuming Q4 reported -6% (Q4-25 base £458.7m/~$615m) [estimate].
- **H1-26 remains the last hard profit print: adj. EBITDA £150.2m (~$201m), -9.5%, margin 16.9% (-180bps).** A £46m (~$62m) YoY duty step-up (gaming duties £233.4m/~$313m, 26.3% of revenue vs 21.1%) was more than half offset by marketing -18.5% to £115.8m (~$155m), 13.0% of revenue (16.0%), promo efficiency and opex savings. Reported EBITDA £124.8m (~$167m), -11.7%, after £25.4m (~$34m) net exceptionals; IFRS loss after tax £70.2m (~$94m); adj. PAT £1.9m (~$2.5m); IFRS EPS -15.6p (~-$0.21), adj. EPS 0.4p (~$0.005).
- **UK&I Online is the profit engine despite being the duty epicentre:** H1 revenue +3.5% to £348.1m (~$467m), gaming +6.7% on William Hill Vegas, betting -2.4%, 888 managed down for margin; adj. EBITDA +28.3% to £77.0m (~$103m), margin 22.1% (+430bps) even with ~£30m (~$40m) of extra UK duty in Q2 alone. That mitigation leans heavily on marketing cuts, which is a finite lever.
- **International has gone ex-growth:** H1 revenue -1.9% to £293.8m (~$394m) (Italy +21%, Denmark +13%; Spain, Romania, RoW down), actives -14% to 559k, adj. EBITDA -20.9% to £67.6m (~$91m), margin 23.0% (-560bps) on Italy/Romania duty rises and mix. Q1-26 International sports revenue was -29%. FY25's +9%/+35% growth engine is no longer carrying the group.
- **Retail: smaller, more profitable, and now facing MGD 25%.** H1 reported revenue -2.6% to £245.6m (~$329m) but LfL +4%; adj. EBITDA +5.4% to £31.2m (~$42m), margin 12.7% (+100bps). The c.270 closures were stated to be loss-making shops. The 28 Oct 2026 Budget lifted Machine Games Duty from 20% to 25% on >£1-stake machines from 1 Apr 2027 — short of the 40% feared, but another £9–10m (~$12–13m) annualised gross cost on our estimate of the remaining machine base [estimate; Entain guided ~£25m for its larger estate].
- **Event stats: none disclosed.** Unlike peers, evoke gave no World Cup revenue, stakes or actives data — only qualitative 'strong engagement' at H1. Group H1 KPIs: average monthly actives 1.631m (-6%), sportsbook stakes £2,099.7m (~$2.81bn) (-9%), net sports revenue margin 13.3% (+60bps, described as structural — pricing, mix, risk management), gaming revenue £608.3m (~$815m) (+2%), betting revenue £279.2m (~$374m) (-5%).
- **Cost/mitigation programme:** target ~50% mitigation of the £125–135m (~$168–181m) annualised duty hit via supplier savings, reduced marketing, shop closures, opex cuts and proposition changes; H1 delivered >50% offset of the £46m (~$62m) gross headwind. Layered on top, Bally's Intralot has identified ~£180m (~$241m) of pre-tax cost and capex synergies by end of year two post-completion (marketing optimisation, operational efficiencies, IT infrastructure) — read: more UK marketing and overhead cuts.

- **Capital position (30 Jun 26):** net debt £1,899.4m (~$2.55bn) (gross borrowings £1,919.8m/~$2.57bn, leases £85.2m/~$114m, cash ex-customer balances £105.6m/~$142m); RCF £157.0m (~$210m) drawn, £43.0m (~$58m) undrawn; total liquidity ~£150m (~$201m). Leverage 5.6x on LTM adj. EBITDA £340.4m (~$456m), up from 5.2x. Underlying FCF £85m (~$114m) in H1 after capex £50.9m (~$68m) and leases £22.3m (~$30m), but net interest paid £88.9m (~$119m) and £26.9m (~$36m) exceptional cash outflows pushed net debt up. No Q3 balance-sheet update was given; no dividend.
- **Leverage direction is up.** LTM EBITDA will fall further as the 40% RGD annualises through Q3/Q4 (each quarter carries ~£25–30m/~$34–40m of incremental UK duty YoY before mitigation). We model FY26 adj. EBITDA of ~£300–320m (~$402–429m) and net debt roughly flat at ~£1.9bn (~$2.55bn), i.e. ~6x by YE26 [estimate]. Standalone, this is a refinancing story; the €889m second-lien facility (TPG, Oaktree, OHA) committed under the Intralot deal is what takes out the €450m 2028 FRNs and $575m 2028 TLB.
- **Deal status: on track, with a new US regulatory wrinkle.** Both shareholder bases approved (evoke court meeting 99.91%, GM 99.63% on 17 Aug 2026); 'the majority' of regulatory approvals received; completion still guided to late Q4-26/early Q1-27. However, on 26 Oct Pennsylvania's Office of Enforcement Counsel objected to the joint petition for 888 Atlantic to conditionally surrender its interactive gaming manufacturer licence (legacy Caesars/WSOP B2B contract); a standard PGCB review could take 9+ months. The Board decides; conditions were proposed as a fallback.
- **Terms recap:** 0.537 new Bally's Intralot shares per evoke share (52p/~$0.70 at €1.12), equity value £243.1m (~$326m), EV ~£2.2bn (~$2.95bn), cash alternative 52p capped at £117.1m (~$157m); evoke holders ~11.5% of the enlarged group. At 42.1p (~$0.56) the shares sit ~19% below headline terms — a function of Intralot's share price since June and residual completion risk; we could not verify Intralot's current price [unverified].
- **Management is emphasising** 'resilience', 'profitability and cash generation' and the political case against further tax; **it is burying** the LfL deceleration, the absence of any profit or leverage data for the quarter, and the fact that Q2's 28% UK&I Online EBITDA growth was bought with an 18.5% marketing cut while actives fell 6% group-wide.
- **Regulation remains the swing factor:** RGD 40% (live since 1 Apr 2026); remote GBD 15%→25% from 1 Apr 2027 (UK horse racing and SSBT bets exempt); MGD 20%→25% from 1 Apr 2027. The 2027 steps are not in any reported number yet. Shares rose ~3.5% to c.44.5p (~$0.60) on 28 Oct on relief that MGD was not doubled.
- **Thesis read-through:** for evoke equity holders the operating print is now second-order; what matters is (i) PGCB/court timetable, (ii) Intralot's share price, and (iii) whether evoke's EBITDA erodes enough before closing to strain the combined group's covenants and the £180m synergy case. For the UK sector, Q3 corroborates that the online duty hike is being met with marketing withdrawal and estate rationalisation, which should favour scale leaders (Flutter, Entain, bet365) on share.

2 GROUP FINANCIAL SUMMARY

£M (~$M AT 1.34)	Q3-26	Q3-25	YOY	Q2-26 (DERIVED)	QOQ	H1-26	H1 YOY
REVENUE BY SEGMENT							
Group revenue Q2-26 = H1-26 less Q1-26 (£440m, rounded in FY25 release); treat as ±£1m.	**£406m (~$544m)**	**£435.4m (~$583m)**	**-7% rep / -2% LfL cc**	**~£447.5m (~$600m)**	**~-9%**	**£887.5m (~$1,189m)**	**flat / +2% LfL**
UK&I Online	n/a (not disclosed)	£163.3m (~$219m)	n/a	~£178.1m (~$239m)	n/a	£348.1m (~$467m)	+3.5%
International	n/a (not disclosed)	£150.4m (~$202m)	n/a	~£145.8m (~$195m)	n/a	£293.8m (~$394m)	-1.9%
UK Retail	n/a (not disclosed)	£121.7m (~$163m)	n/a	~£122.6m (~$164m)	n/a	£245.6m (~$329m)	-2.6% / +4% LfL
REVENUE BY PRODUCT							
Gaming	n/a	n/a	n/a	n/a	n/a	£608.3m (~$815m)	+2%
Betting	n/a	n/a	n/a	n/a	n/a	£279.2m (~$374m)	-5%
PROFITABILITY							
Adj. EBITDA	**n/a (not disclosed)**	**n/a**	**n/a**	**n/a**	**n/a**	**£150.2m (~$201m)**	**-9.5%**
Adj. EBITDA margin	n/a	n/a	n/a	n/a	n/a	16.9%	-180bps
UK&I Online adj. EBITDA	n/a	n/a	n/a	n/a	n/a	£77.0m (~$103m)	+28.3%
International adj. EBITDA RNS segment table; the results presentation shows £68.1m (allocation difference).	n/a	n/a	n/a	n/a	n/a	£67.6m (~$91m)	-20.9%
UK Retail adj. EBITDA	n/a	n/a	n/a	n/a	n/a	£31.2m (~$42m)	+5.4%
Corporate costs	n/a	n/a	n/a	n/a	n/a	-£25.6m (~-$34m)	vs -£9.2m
Reported EBITDA (IFRS)	n/a	n/a	n/a	n/a	n/a	£124.8m (~$167m)	-11.7%
Loss after tax (IFRS)	n/a	n/a	n/a	n/a	n/a	-£70.2m (~-$94m)	vs -£70.1m restated
Adj. profit after tax	n/a	n/a	n/a	n/a	n/a	£1.9m (~$2.5m)	vs nil
EPS (IFRS, basic/diluted)	n/a	n/a	n/a	n/a	n/a	-15.6p (~-$0.21)	vs -15.5p
Adj. EPS	n/a	n/a	n/a	n/a	n/a	0.4p (~$0.005)	vs nil
GROUP KPIS							
Average monthly actives	n/a	n/a	n/a	n/a	n/a	1.631m	-6%
Sportsbook stakes	n/a	n/a	n/a	n/a	n/a	£2,099.7m (~$2,814m)	-9%
Sportsbook net revenue margin	n/a (1–2ppt group rev headwind from results)	n/a	n/a	n/a	n/a	13.3%	+60bps
Gaming duties (% of revenue)	n/a	n/a	n/a	n/a	n/a	£233.4m (~$313m) / 26.3%	+£46m (~$62m); 21.1% in H1-25
Marketing (% of revenue)	n/a	n/a	n/a	n/a	n/a	£115.8m (~$155m) / 13.0%	-18.5%; 16.0% in H1-25
Retail shops closed YoY	c.270	—	—	c.270	—	c.270	c.70 in Q4-25 + c.200 in May-26
CASH FLOW & BALANCE SHEET							
Cash from operations pre-working capital	n/a	n/a	n/a	n/a	n/a	£129.1m (~$173m)	vs £157.6m
Underlying free cash flow	n/a	n/a	n/a	n/a	n/a	£85m (~$114m)	n/a
Capex	n/a	n/a	n/a	n/a	n/a	£50.9m (~$68m)	front-loaded (closures)
Net interest paid	n/a	n/a	n/a	n/a	n/a	£88.9m (~$119m)	vs £103.6m
Cash (ex-customer balances)	n/a (not disclosed)	n/a	n/a	n/a	n/a	£105.6m (~$142m)	vs £128.4m at Dec-25
Net debt	**n/a (not disclosed)**	**n/a**	**n/a**	**n/a**	**n/a**	**£1,899.4m (~$2,545m)**	**+£36.7m vs Dec-25**
Net leverage (net debt / LTM adj. EBITDA)	**n/a (not disclosed)**	**n/a**	**n/a**	**n/a**	**n/a**	**5.6x (LTM £340.4m / ~$456m)**	**vs 5.2x at Dec-25**

3 SEGMENT DEEP-DIVE — UK & IRELAND ONLINE (WILLIAM HILL, 888, MR GREEN UK)

> **The duty epicentre is still the profit engine — but Q3 brought no numbers, and the mitigation is mostly marketing withdrawal.**

Q3 REVENUE READ

No Q3-26 UK&I Online revenue was disclosed; our working assumption is broadly flat to modestly up YoY, gaming growing and sports down [estimate, unverified].

- Q3-25 base £163.3m (~$219m), +1% YoY; sports £50.7m (~$68m) up 8% on weak prior-year margins; gaming roughly £112.6m (~$151m) down 2%.
- Q1-26 revenue £170m (~$228m) was +5% (gaming +8%, sports -2%); H1-26 £348.1m (~$467m) +3.5%, implying Q2 of roughly £178m (~$239m).
- Customer-friendly early-season football results cost 1–2ppt of group growth (c.£4–9m/~$5–12m), landing disproportionately here and in Retail.
- International sports is only c.10% of that division's revenue.

> *"particularly customer-friendly sports results in the beginning of the football season"* — **Management**

H1 ECONOMICS

Adjusted EBITDA rose 28.3% to £77.0m (~$103m) with margin up 430bps to 22.1%, but only because marketing was cut 18.5%.

- Average monthly actives 1.072m, slightly down on FY25's 1.1m; 888 revenue fell by design as they prioritised profitability over lower-return volume.
- William Hill delivered double-digit gaming growth on William Hill Vegas improvements and 'more effective bonusing'; divisional gaming +6.7%, betting -2.4%.
- Cost of sales rose to £151.7m (~$203m) from £124.2m (~$166m); roughly £30m (~$40m) was the 1 April 2026 RGD step-up from 21% to 40%, booked for one quarter.
- Group marketing cut to £115.8m (~$155m), 13.0% of revenue from 16.0%; group sportsbook net revenue margin improved 60bps to 13.3% on structural changes.

> *"profitability and customer economics rather than pursuing lower-return volume"* — **Management**

REPEATABILITY AND DUTY

We are sceptical the H1 rate is repeatable: H2 duty drag is roughly double H1's and marketing can only be cut once.

- Q3 and Q4 each carry a full quarter of the 19-point RGD increase against a 21% comparator.
- FY25 statement flagged black-market share gains in UK horse racing and 12% lower UK&I Online betting revenue in 2025; group actives down 6% in H1.
- From 1 April 2027 remote General Betting Duty rises from 15% to 25% (UK horse racing and in-shop SSBT bets exempt).
- This is the second leg of the £125–135m (~$168–181m) annualised pre-mitigation group headwind quantified in November 2025, in no reported number yet; target is to mitigate about half.

GUIDANCE AND BALLY'S INTRALOT

No segment guidance was given; Bally's Intralot plans ~£180m (~$241m) of cost and capex synergies by end of year two, led by marketing optimisation.

- Plan is to deploy Intralot technology to the evoke brands; none expected before completion.
- evoke has already reduced marketing intensity by three points of revenue.
- UK online market-share consequence is the thing to watch in Gambling Commission data; no evoke-disclosed share figures exist and we will not estimate one.

> *"marketing spend optimisation"* — **Management**

UK&I ONLINE, £M (~$M AT 1.34)	Q3-26	Q3-25	YOY	Q2-26 (DERIVED)	QOQ	H1-26	H1 YOY
Revenue Q1-26 revenue £170m (~$228m), +5% (gaming +8%, sports -2%).	**n/a (not disclosed)**	**£163.3m (~$219m)**	**n/a**	**~£178.1m (~$239m)**	**n/a**	**£348.1m (~$467m)**	**+3.5%**
Sports (betting) revenue	n/a	£50.7m (~$68m), +8%	n/a	n/a	n/a	n/a (abs. not disclosed)	-2.4%
Gaming revenue	n/a	~£112.6m (~$151m), -2%	n/a	n/a	n/a	n/a (abs. not disclosed)	+6.7%
Average monthly actives	n/a	n/a	n/a	n/a	n/a	1.072m	slightly lower (FY25 avg 1.1m)
Cost of sales (incl. duties)	n/a	n/a	n/a	n/a	n/a	£151.7m (~$203m)	+22% (vs £124.2m); ~£30m extra UK duty
Adj. EBITDA	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**£77.0m (~$103m)**	**+28.3% (vs £60.0m)**
Adj. EBITDA margin	n/a	n/a	n/a	n/a	n/a	22.1%	+430bps (17.8%)
Share of group revenue	n/a	37.5%	—	~39.8%	—	39.2%	+130bps
Share of group adj. EBITDA (ex-corporate)	n/a	n/a	—	n/a	—	51.3%	vs 36.2%

4 SEGMENT DEEP-DIVE — UK RETAIL (WILLIAM HILL SHOPS)

The -7% headline is the estate shrink; the remaining shops are more profitable, but MGD 25% from April 2027 is the next cost to absorb.

Q3 REVENUE READ

Retail is where the reported/LfL gap lives; stripping closed shops implies Q3-26 Retail revenue around £100m (~$134m) [estimate, unverified].

- Reported -7% versus -2% like-for-like constant currency is c.5ppt, roughly £22m (~$29m) on the £435.4m (~$583m) Q3-25 group base.
- Nearly all of the gap is c.270 shops no longer trading (c.70 closed Q4-25, c.200 from 24 May 2026), with a small FX residual in International.
- Q3-25 Retail base £121.7m (~$163m), +6%; betting £67.1m (~$90m) and gaming £54.6m (~$73m), both +6%, helped by soft prior-year margins and 5,000 new cabinets.
- Estimate strips c.£20m of closed-shop revenue, before LfL movement and customer-friendly football results.

H1 RATIONALISATION

H1-26 reported revenue fell 2.6% to £245.6m (~$329m) but LfL was +4% and adjusted EBITDA rose 5.4% to £31.2m (~$42m).

- Q1-26 LfL +3% (gaming +6%, sports flat), supported by the gaming-machine estate and 2,000 new self-service betting terminals.
- Margin expanded 100bps to 12.7% as loss-making locations came out of the P&L.
- FY25 Retail revenue £501.0m (~$671m), -1%; adjusted EBITDA £55.0m (~$74m), -17%; £440.3m (~$590m) impairments across Retail and UK Online in FY25.
- Fixed cost base means LfL growth and closures matter more to profit than the reported revenue line suggests.

> *"challenging high street trading conditions"* — **Management**

MGD BUDGET CHANGE

The 28 October 2026 Budget lifted Machine Games Duty from 20% to 25% from 1 April 2027, implying a gross hit of £9–10m (~$12–13m) a year [our estimate].

- Applies to machines with stakes above £1; well short of the 40% campaigners lobbied for.
- Entain estimated c.£25m (~$34m) annualised cost for its roughly twice-as-large estate.
- evoke retail gaming revenue of £54.6m annualises to ~£218m/~$292m pre-closures, perhaps £175–195m/~$235–261m after.
- Shares rose about 3.5% to c.44.5p (~$0.60) on the day as the market treated it as relief.

> *"concerned about the impact of further taxation on the regulated UK betting industry"* — **Per Widerström**

OUTLOOK AND JUDGEMENT

Retail is now a managed-decline cash asset funding the online duty bill; further rationalisation under Bally's Intralot is more likely than not after MGD lands.

- Entain's own mitigation plan explicitly includes 'estate rationalisation'.
- In-shop SSBT bets stay at 15% General Betting Duty, keeping the omni-channel pivot (Acca Boost, SSBT growth) tax-efficient versus the 25% remote rate from April 2027.
- No Retail guidance was given.

UK RETAIL, £M (~$M AT 1.34)	Q3-26	Q3-25	YOY	Q2-26 (DERIVED)	QOQ	H1-26	H1 YOY
Revenue Q1-26 revenue £123m (~$165m), LfL +3% (gaming +6%, sports flat).	**n/a (not disclosed; ~£100m implied est.)**	**£121.7m (~$163m), +6%**	**n/a**	**~£122.6m (~$164m)**	**n/a**	**£245.6m (~$329m)**	**-2.6% reported / +4% LfL**
Betting revenue	n/a	£67.1m (~$90m), +6%	n/a	n/a	n/a	n/a	n/a
Gaming (machines) revenue	n/a	£54.6m (~$73m), +6%	n/a	n/a	n/a	n/a	n/a
Shops closed vs prior year	c.270	—	—	c.270	—	c.270	c.70 Q4-25 + c.200 May-26, all loss-making per mgmt
Adj. EBITDA	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**£31.2m (~$42m)**	**+5.4% (vs £29.6m)**
Adj. EBITDA margin	n/a	n/a	n/a	n/a	n/a	12.7%	+100bps (11.7%)
Share of group revenue	n/a	28.0%	—	~27.4%	—	27.7%	-70bps
Post-period: MGD on >£1 machines	20% → 25% from 1 Apr 2027	—	—	—	—	—	est. £9–10m (~$12–13m) p.a. gross [estimate]

5 SEGMENT DEEP-DIVE — INTERNATIONAL ONLINE (ITALY, SPAIN, DENMARK, ROMANIA, ROW)

FY25's growth engine is now ex-growth with a 560bps margin reset; Italy and Denmark are carrying a shrinking active base.

REVENUE TRAJECTORY

International was not broken out for Q3-26; 2026 trajectory is negative, with H1-26 revenue of £293.8m (~$394m) down 1.9%.

- Q3-25 base £150.4m (~$202m), +6% reported (+8% constant currency), double-digit growth in Italy, Denmark and Romania, Spain lagging; 9M-25 £449.9m (~$603m), +11%.
- Q1-26 revenue £148m (~$198m) was -2%, gaming +2% but sports -29%; implied Q2 roughly £146m (~$195m).
- Italy grew 21% and Denmark 13% in H1, offset by declines in Spain, Romania and Rest of World.
- Small reported/constant-currency gap in Q3 suggests the division was not a large swing factor [inference].

CUSTOMER ECONOMICS

Actives fell 14% to 559k from 652k and adjusted EBITDA fell 20.9% to £67.6m (~$91m), margin down 560bps to 23.0%.

- Gaming revenue flat at £265.9m (~$356m); sports only c.£28m (~$37m), down sharply, so International is effectively a casino business with a sportsbook attached.
- Cost of sales rose to £121.7m (~$163m) from £110.4m (~$148m), including roughly £16m (~$21m) extra duty in Italy and Romania and adverse mix shift.
- Presentation shows £68.1m EBITDA on a different allocation; FY25 margin was 28.9% on adjusted EBITDA of £175.4m (~$235m), +35%.

PLATFORM AND STRUCTURE

Platform consolidation continued while sports margin remains the cyclical swing; none of this was updated at Q3.

- Mr Green migrated to the in-house 888 platform; Denmark moved in-house in 2025; 888 Romania moved onto Winner.ro after the Winner acquisition.
- FY25 cash flow carried c.£16m (~$21m) of Italian licence and guarantee costs for the new concession regime.
- Q1 sports -29% suggests both volume loss and unfavourable results.

OUTLOOK AND JUDGEMENT

International's value is as a regulated, locally-licensed footprint rather than a growth asset in 2026–27; no return to growth modelled before Intralot adjacencies.

- Bally's Intralot named the UK, Ireland, Spain, Denmark, Romania and Italy as its six core markets.
- With actives down 14% and margin down 560bps, the H2 comparison against FY25's record Italy/Denmark revenues is tough.
- No segment guidance was given.

INTERNATIONAL ONLINE, £M (~$M AT 1.34)	Q3-26	Q3-25	YOY	Q2-26 (DERIVED)	QOQ	H1-26	H1 YOY
Revenue Q1-26 revenue £148m (~$198m), -2% (gaming +2%, sports -29%).	**n/a (not disclosed)**	**£150.4m (~$202m), +6% rep**	**n/a**	**~£145.8m (~$195m)**	**n/a**	**£293.8m (~$394m)**	**-1.9%**
Gaming revenue	n/a	n/a	n/a	n/a	n/a	£265.9m (~$356m)	flat
Sports revenue (derived)	n/a	n/a	n/a	n/a	n/a	~£27.9m (~$37m)	n/a (sharply lower)
Italy	n/a	double-digit growth	n/a	n/a	n/a	n/a (abs. not disclosed)	+21%
Denmark	n/a	double-digit growth	n/a	n/a	n/a	n/a (abs. not disclosed)	+13%
Spain / Romania / RoW	n/a	Spain weaker; Romania double-digit	n/a	n/a	n/a	n/a	declined (not quantified)
Average monthly actives	n/a	n/a	n/a	n/a	n/a	559k	-14% (652k)
Cost of sales (incl. duties)	n/a	n/a	n/a	n/a	n/a	£121.7m (~$163m)	+10% (vs £110.4m); ~£16m extra duty
Adj. EBITDA	**n/a**	**n/a**	**n/a**	**n/a**	**n/a**	**£67.6m (~$91m)**	**-20.9% (vs £85.5m)**
Adj. EBITDA margin	n/a	n/a	n/a	n/a	n/a	23.0%	-560bps (28.6%)
Share of group revenue	n/a	34.5%	—	~32.6%	—	33.1%	-260bps

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- UK&I Online adj. EBITDA +28.3% to £77.0m (~$103m) in H1-26 with margin +430bps to 22.1%, delivered in the first quarter of 40% RGD — evidence the mitigation plan has real teeth. structural
- More than half of the £46m (~$62m) gross H1 duty headwind was offset; group marketing cut 18.5% to 13.0% of revenue (from 16.0%) while UK&I Online revenue still grew 3.5%. mixed
- Sportsbook net revenue margin +60bps to 13.3% in H1, attributed to pricing, mix and risk management rather than results — a structural lever that partly cushions Q3's bad football results. structural
- Retail rationalisation is working on its own terms: H1 LfL revenue +4%, adj. EBITDA +5.4% to £31.2m (~$42m), margin +100bps, with the c.270 closed shops described as loss-making. structural
- Bally's Intralot acquisition 'remains on track': 99.9% shareholder approval, majority of regulatory approvals received, €889m second-lien (TPG/Oaktree/OHA) committed to refinance the €450m 2028 FRNs and $575m 2028 TLB — the standalone refinancing wall goes away on completion. structural
- 28 Oct Budget set MGD at 25% (from 20%) on >£1 machines, not the 40% feared; evoke shares +~3.5% to c.44.5p (~$0.60). Our gross estimate of the hit is ~£9–10m (~$12–13m) p.a. [estimate]. one-off
- Net interest paid fell to £88.9m (~$119m) from £103.6m (~$139m) after the 2025 refinancing of the 2027 EUR notes (8.0% 2031s), and underlying FCF was £85m (~$114m) in H1. mixed

▼ LOWLIGHTS

- LfL cc revenue -2% in Q3 after +2% in Q1 and H1 — a 4ppt deceleration even with the July World Cup in the quarter; 'normalised broadly stable' is flat at best. watch
- Reported revenue -7% to £406m (~$544m); 9M-26 -2.2% to £1,293.5m (~$1.73bn). On our arithmetic FY26 revenue is ~-3% and FY26 adj. EBITDA ~£300–320m (~$402–429m) vs £356.2m (~$477m) in FY25 [estimate]. structural
- Leverage 5.6x at June and rising mechanically as LTM EBITDA absorbs two more quarters of 40% RGD; we see ~6x by YE26 on ~£1.9bn (~$2.55bn) net debt [estimate]. Liquidity was ~£150m (~$201m) with £157m (~$210m) of the RCF drawn. structural
- International: actives -14% to 559k, adj. EBITDA -20.9% to £67.6m (~$91m), margin -560bps to 23.0%; Q1 sports revenue -29%. The FY25 growth engine is now a drag. structural
- Information vacuum: no divisional revenue, EBITDA, cash or net debt in the Q3 update and no guidance — the fourth consecutive quarter without a quantified outlook since targets were withdrawn on 26 Nov 2025. governance
- Pennsylvania's Office of Enforcement Counsel (26 Oct) objected to the 888 Atlantic licence-surrender petition tied to the Caesars/WSOP B2B contract; a standard PGCB review could take 9+ months and threatens the late-Q4-26/early-Q1-27 completion window. watch
- Two more duty steps are unbooked: remote GBD 15%→25% from 1 Apr 2027 (part of the £125–135m/~$168–181m annualised pre-mitigation estimate) and MGD 20%→25% from 1 Apr 2027. Corporate costs also jumped to £25.6m (~$34m) from £9.2m (~$12m) in H1 within adjusted EBITDA. structural
- Shares at ~42p (~$0.56) sit ~19% below the 52p (~$0.70) headline all-share terms — the consideration floats with Intralot's share price and carries completion risk; group actives fell 6% in H1 while marketing was cut, so the underlying franchise is shrinking into the deal. mixed

7 FORECAST & OUTLOOK

Guidance bridge. There is no company guidance to bridge. The pre-November-2025 framework (revenue +5–9% p.a. to 2027; FY25 adj. EBITDA margin ≥20%) was withdrawn after the UK Budget raised Remote Gaming Duty to 40% from 1 Apr 2026 and introduced a 25% remote betting rate from 1 Apr 2027. The company's only quantification since is a £125–135m (~$168–181m) annualised pre-mitigation duty headwind once fully implemented, ~£80m (~$107m) of it in FY26, with ~50% mitigation targeted; H1-26 offset over half of a £46m (~$62m) gross hit. At H1 and again at Q3 the Board declined to give forward-looking guidance because of the recommended Bally's Intralot acquisition. The division that drove the regime change is UK&I Online (duty), while Retail is where the revenue line is shrinking (closures) and International is where margin has reset (Italy/Romania duty, mix).

MEDIUM-TERM TARGETS (PRE-NOV 2025)	DUTY IMPACT QUANTIFIED (NOV-25 / JAN-26)	H1-26 AND Q3-26 STANCE	OUR FY26E [ESTIMATE]
Revenue +5–9% p.a. to 2027; FY25 adj. EBITDA margin ≥20% (delivered 20.0%)	**£125–135m (~$168–181m) annualised pre-mitigation from Apr-27; ~£80m (~$107m) in FY26**	**No forward-looking guidance (offer period); Q3 LfL cc -2%, 'broadly stable' normalised**	**Revenue ~£1.72–1.73bn (~$2.31–2.32bn), -3%; adj. EBITDA ~£300–320m (~$402–429m), margin ~17.5–18.5%**
Withdrawn 26 Nov 2025 after UK Budget (RGD 21%→40%; remote GBD 15%→25% from Apr-27)	~50% mitigation targeted; H1-26 offset >50% of £46m (~$62m) gross	Deceleration from +2% LfL in Q1/H1; no profit or leverage disclosure	Net debt ~£1.9bn (~$2.55bn), leverage ~6x at YE26 vs 5.2x at YE25

Independent view. Q4-26: we expect reported revenue of roughly £430m (~$576m), c.-6% YoY against a £458.7m (~$615m) Q4-25 base, with the closed estate still worth ~5ppt and LfL around -1% to flat; a normal football margin would recover 1–2ppt of Q3's results drag. **FY26:** revenue ~£1,725m (~$2.31bn), -3%. On EBITDA, H2-25 adjusted EBITDA was £190.3m (~$255m); H2-26 absorbs ~£55–65m (~$74–87m) of gross incremental duty (two full quarters of UK RGD at ~£25–30m each plus Italy/Romania), which at >50% mitigation plus the retail closure benefit nets to a ~£25–35m (~$34–47m) hit, so H2-26E adj. EBITDA of ~£150–170m (~$201–228m) and **FY26E ~£300–320m (~$402–429m), margin ~18%** — down from 20.0%. **Leverage** drifts up mechanically: with H2 cash interest of ~£90m (~$121m), capex ~£40m (~$54m), leases ~£20m (~$27m) and deal/exceptional costs, net debt ends the year around £1.9bn (~$2.55bn) and **leverage ~6x** [all estimates]. **Swing factors:** football margins in Q4; the pace of 888 attrition versus William Hill gaming growth; Italy/Denmark momentum; any further acceleration of shop closures ahead of MGD; and, dominating everything, whether the PGCB accepts the 888 Atlantic workaround so the scheme can be sanctioned in the guided window. If completion slips into mid-2027, evoke faces the April 2027 GBD and MGD steps as a standalone 6x-levered credit with ~£150m (~$201m) of liquidity — the scenario the Board's strategic review was designed to avoid.

What to watch next quarter:

- PGCB ruling on the 888 Atlantic licence-surrender petition (OEC objected 26 Oct 2026) and any change to the late-Q4-26/early-Q1-27 completion guidance; court sanction date.
- Bally's Intralot share price versus the €1.12 reference — the all-share consideration (0.537 new shares) floats; the cash alternative (52p, capped at £117.1m/~$157m) is the only fixed element.
- FY25-style post-close trading update (likely January 2027): Q4 revenue by division, FY26 adj. EBITDA versus our £300–320m (~$402–429m), year-end net debt and leverage.
- UK Gambling Commission market data for William Hill/888 online share as marketing is cut further; 888 brand attrition versus William Hill Vegas growth.
- Implementation detail of remote GBD 25% and MGD 25% from 1 April 2027 and any further evoke estate rationalisation announcement.
- Covenant headroom and liquidity: RCF drawn £157m (~$210m) / undrawn £43m (~$58m) at June; cash ex-customer balances £105.6m (~$142m).
- Integration signals from Bally's Intralot on the £180m (~$241m) synergy phasing and Intralot platform deployment to evoke brands.

DATA CONFIDENCE: MEDIUM FX: GBP/USD ~1.34 as of 23 Oct 2026, inferred from contemporaneous press conversion of £406m to $543m (direct rate lookup could not be completed — treat USD figures as approximate). HIGH confidence in the Q3-26 group revenue (£406m, -7% reported, -2% LfL cc), the Q3-25 divisional base, H1-26 financials, net debt/leverage at 30 June and deal terms, each cross-checked across the RNS text (via ADVFN/Investegate/TradingView) and two or more secondary outlets. MEDIUM/LOW on anything Q3-26 below the group revenue line: evoke disclosed no divisional revenue, product split, EBITDA, cash or net debt for the quarter, so all such cells are marked n/a and any Q3 divisional figures in the narrative are explicitly labelled estimates. Q2-26 figures are derived (H1-26 minus the rounded Q1-26 numbers in the FY25 release) and carry ±£1m rounding. International H1 adj. EBITDA is £67.6m in the RNS segment table but £68.1m in the presentation (allocation difference); we use the RNS. Not verified: Bally's Intralot's current share price (and hence the live implied offer value), the exact remaining shop count, UK online market shares, and the MGD cost estimate (our own). Three user-supplied URLs (igamingfuture, igamingbusiness Q3-26 and yogonet Q3-26) could not be retrieved due to fetch limits; their content was corroborated via next.io, europeangaming.eu, Gaming Intelligence, gaming.net and gamblingnews.

Sources: [Primary] evoke plc — Q3 2026 trading update, RNS 1190A, 23 Oct 2026 (full text via ADVFN); [Primary] evoke plc — Investor relations: results, reports and presentations (lists Q3 2026 Trading Update, 23 Oct 2026); [Primary] evoke plc — H1 2026 Interim Results statement (PDF), 12 Aug 2026; [Primary] evoke plc — H1 2026 Interim Results RNS (Investegate), 12 Aug 2026; [Primary] evoke plc — H1 2026 Interim Results RNS (TradingView/Reuters mirror; net debt table); [Primary] evoke plc — H1 2026 Results Presentation (PDF), 12 Aug 2026; [Primary] evoke plc — FY25 Results RNS incl. Q1 2026 trading update, 30 Apr 2026 (Investegate); [Primary] evoke plc — FY25 Results Statement (PDF), 30 Apr 2026; [Primary] evoke plc — FY2025 Results Presentation incl. Q1 2026 divisional revenue (MarketScreener mirror); [Primary] evoke plc — Q3 2025 trading update RNS, 28 Oct 2025 (Investegate); [Primary] Bally's Corporation — Form 8-K, 5 Jun 2026 (recommended acquisition of evoke; terms); [Primary] House of Commons Library — Budget 2025: Gambling taxation (RGD 40%, remote GBD 25%, Finance Act 2026); [Secondary] NEXT.io — Q3 2026: Evoke revenue falls 7% amid retail closures (user-supplied); [Secondary] European Gaming — Evoke Q3 2026 trading update (user-supplied; notes no profit/EBITDA/divisional disclosure); [Secondary] Gaming Intelligence — evoke revenue declines 7% in third quarter (user-supplied; intraday share price); [Secondary] GamblingNews — Evoke posts trading update, 7% drop in Q3 revenue (USD conversion used for FX inference); [Secondary] iGaming Business — Evoke Q3 2025 divisional revenue (UK&I Online £163.3m, Retail £121.7m); [Secondary] Investing.com — Evoke H1 2026 slides summary (group KPIs: actives, stakes, margin, cost lines); [Secondary] Investing.com — Evoke H1 2026 earnings call transcript summary; [Secondary] Gaming Intelligence — Bally's Intralot agrees £243m acquisition of evoke (synergies, premium, cash alternative); [Secondary] Morningstar/Alliance News — Evoke shareholders approve Bally's Intralot takeover (vote percentages); [Secondary] NEXT.io — Caesars deal creates Pennsylvania hurdle for Bally's evoke acquisition, 28 Oct 2026; [Secondary] Gambling.com — Pennsylvania objects to Bally's plan for evoke licence (OEC answer dated 26 Oct 2026); [Secondary] Racing Post — Budget 2026: chancellor raises machine games duty to 25% (share price reaction 28 Oct); [Secondary] Gambling.com — Healey lifts Machine Games Duty to 25% in Budget (>£1 stakes, from 1 Apr 2027); [Secondary] Hargreaves Lansdown/Sharecast — Evoke withdraws medium-term targets after Budget tax changes, 26 Nov 2025 (£125–135m, ~£80m FY26, ~50% mitigation); [Secondary] London Stock Exchange — EVOK company page (price history around 21–22 Oct 2026).

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